

2. The “Semistrong” form contends that all publicly available information is fully reflected in securities prices; that is, fundamental analysis is of no value.
3. The “Strong” form contends that all information is fully reflected in securities prices; that is, insider information is of no value.

If a market is efficient, then no amount of information or rigorous analysis can be expected to result in outperformance of a selected benchmark. An efficient market can basically be defined as a market wherein large numbers of rational investors act to maximize profits in the direction of individual securities. A key assumption is that relevant information is freely available to all participants. This competition among market participants results in a market wherein, at any given time, prices of individual investments reflect the total effects of all information, including information about events that have already happened, and events that the market expects to take place in the future. In sum, at any given time in an efficient market, the price of a security will match that security’s intrinsic value.

At the center of this market efficiency debate are the actual portfolio managers who manage investments. Some of these managers are fervently passive, believing that the market is too efficient to “beat”; some are active managers, believing that the right strategies can consistently generate alpha (alpha is performance above a selected benchmark). In reality, active managers beat their benchmarks only roughly one-third of the time on average. This may explain why the popularity of exchange-traded funds (ETFs) has exploded in the past five years and why venture capitalists are now supporting new ETF companies, many of which are offering variations on the basic ETF theme.

The implications of the efficient market hypothesis are far-reaching. Most individuals who trade stocks and bonds do so under the assumption that the securities they are buying (selling) are worth more (less) than the prices that they are paying. If markets are truly efficient and current prices fully reflect all pertinent information, then trading securities in an attempt to surpass a benchmark is a game of luck, not skill.

The market efficiency debate has inspired literally thousands of studies attempting to determine whether specific markets are in fact “efficient.” Many studies do indeed point to evidence that supports the efficient market hypothesis. Researchers have documented numerous, persistent anomalies, however, that contradict the efficient market hypothesis. There are three main types of market anomalies: Fundamental Anomalies, Technical Anomalies, and Calendar Anomalies.